

Annual General Meeting

Company Participants

- Jarrod Langhans, Chief Financial Officer
- John Fieldly, Chief Executive Officer
- Marcus Sandifer, Vice President of Business and Legal Affairs, General Counsel and Corporate Secretary
- Toby David, Vice President, Business Development

Other Participants

- Emily Watson, Direct Transfer, LLC

Presentation

Marcus Sandifer {[BIO 22405260 <GO>](#)}

Good afternoon, ladies and gentlemen. I would like to welcome all of you to the 2023 Annual Meeting of Shareholders of Celsius Holdings, Inc I am Marcus Sandifer and I am the Vice President of Business and Legal Affairs, General Counsel and Secretary, and I will be moderating the meeting.

We are conducting this meeting in a virtual format, streaming live from the Celsius headquarters in Boca Raton via our online meeting portal. At this time, we are calling the meeting to order. We are recording today's proceedings so that we can prepare a complete transcript for shareholders and employees unable to attend the meeting.

With us today are members of the company's Board of Directors and director nominees including, Hal Kravitz, Alexandre Ruberti, Nicholas Castaldo, Damon DeSantis, Cheryl, Joyce Russell, Caroline Levy; John Fieldly, Chief Executive Officer; Jarrod Langhans, Chief Financial Officer.

A copy of today's agenda and the procedures we will follow, have been made available to you either in-person or via the online meeting portal. Each of you should have registered as you entered the meeting today. If you would like to ask a question during the meeting, you may do so by utilizing our online meeting portal and clicking the ask a question box on the left side of your screen.

You will then be able to type in your question and hit submit. We ask that any questions be related to the item that is under discussion at the time. Thank you for your cooperation. As Secretary of the Company, I will also be acting as Secretary of this meeting.

The Company's Board of Directors previously fixed April 3, 2023 as a record date for determining shareholders entitled to vote at this meeting. An affidavit was prepared by the Inspector of Elections attesting to the fact, that the notice of meeting, the proxy statement, and the company's 2022 annual report to shareholders were mailed to all shareholders of record on or about April 28, 2023.

A copy of such affidavit will be filed with the records of the company. Emily Watson, a representative of Direct Transfer LLC, our transfer agent, has been appointed as the Inspector of Elections at this meeting. Ms. Watson is available and present via our online meeting portal.

She has submitted a voting report that indicates the following. There were outstanding on the record date, a total of 76,752,970 shares of the company's common stock. The holders of 58,984,365 or 77% shares of common stock are present at this meeting in-person or by proxy.

Therefore, since the holders of record of a majority of the issued and outstanding shares of common stock entitled to vote at this meeting are present in-person or by proxy, a quorum is present and the meeting may now proceed. The polls for voting on each matter at this meeting will open when all of the proposals have been presented, and will close immediately after all votes have been collected.

Next, we will present the proposals. The first proposal. The next order of business is description of the matters to be voted on at today's meeting, as stated by the company's proxy statement. The purpose of this meeting and matters to be voted on are as follows. The first proposal to be voted upon is the election of nine directors to serve until the next annual meeting of shareholders and until their successors are duly elected and qualified.

Each of the nominees' qualifications are described in the company's proxy statement. Based on the recommendation of our governance and nominating committee, the Board has nominated for election the following persons as directors of the company. John Fieldly, Nicholas Castaldo, Damon DeSantis, Hal Kravitz, James Lee, Caroline Levy, Cheryl Miller, Alexandre Ruberti, and Joyce Russell.

Second. The second proposal to be voted on is the ratification of Ernst & Young LLP to serve as the company's Independent Registered Public Accounting Firm for the fiscal year ending December 31, 2023. Finally, we will transact any other business that may properly come before the meeting, if any. Are there any questions regarding the foregoing proposals?

Seeing that there are no questions, we will proceed with the meeting. Now that we have reviewed the proposals to be voted upon. I hereby declare the polls open for voting. Please remember, that if you've already sent in your proxy card or voted by Internet or telephone, your shares have been voted accordingly.

Shareholders who have sent in proxies do not need to take any further action with respect to any of the matters to be voted on today. You do not need to vote today unless you are voting for the first time or want to change your previous vote.

If you are present in-person and would like a ballot, please raise your hand. If you are attending via online meeting portal and have not yet voted, you may do so by voting the Vote My Shares box on your screen, and follow the applicable instructions. We will now give you time to complete the voting.

We have collected all outstanding ballots and/or proxy cards from those who have voted to vote. And I now declare the polls closed. At this time, we'll proceed with a presentation from our management team.

Jarrold Langhans {BIO 18706067 <GO>}

Good afternoon. Thank you, Marcus. Before I begin, I wanted to refer everyone to our disclaimer on Slide 11. Turning to our full-year 2022 financial results on Slide 13, we had revenue of approximately \$654 million, an increase of \$340 million, or 108% from \$314 million in the prior year.

Approximately 126% of this growth was a result of increased revenues from North America. The primary factors behind the increase in North American sales volumes were related to continued

strong growth in traditional distribution channels, combined with an increase in an optimization of our products across North America as well as our transition into the Pepsi system.

Gross profit increased 111% to \$271 million up from \$128 million in the prior year. Gross profit margins were slightly improved as we saw gradual improvements in margins across the back half of 2022, due to improvements in our average can cost with less higher priced international cans in our inventory. More efficient freight lanes with our orbit model and also some pricing benefits.

Sales and marketing expenses for the year ended December 31, 2022 were \$353 million, an increase of \$278 million or 372% from \$75 million in the prior year. The largest increase was from \$194 million of termination expenses to our prior distribution network.

As a reminder, these expenses were funded by Pepsi but generally accepted accounting standards required us to take the expense immediately, while capitalizing and amortizing the funds received over the life of our distribution agreement.

In addition, we increased incremental marketing investment activities. Excluding the \$194 million in termination expenses, sales and marketing as a percentage of sales was consistent year-over-year. General and administrative expenses were approximately \$76 million, an increase of \$18 million, or 32% from \$58 million.

Focusing now on liquidity and capital resources. As of December 31, 2022, and December 31, 2021, we had cash of approximately \$653 million and \$16 million respectively, and working capital of approximately \$757 million and \$169 million respectively.

Turning to our first quarter 2023 financial results on Slide 14. Revenue was approximately \$260 million, an increase of 95% from \$133 million, driven by our North American business, where first quarter revenues were \$249 million, an increase of 101% from the same period in 2022.

The primary factors behind the increase in North American sales volume were related to our integration into the Pepsi distribution system, where we saw increases across the board, including continued strong growth in traditional distribution channels, including SKU increases, as well as distribution across a number of new channels within C&G and foodservice.

During the quarter, we also saw an increase in the day's inventory outstanding within the mixing centers of our primary distributor, relative to the end of 2022. Gross profit for the first quarter increased 111% to \$114 million, up from \$54 million in the year-ago quarter. Gross profit margins in the first quarter were approximately 44% of revenues, compared to approximately 40% for the prior year first quarter.

The improvement in gross profit margins was due to lower average can prices and leverage of our orbit model, offset in part by increased freight and a few million dollars of inventory write-offs. Q1 was the second quarter that we were operating within our new distribution system, and we continue to drive efficiencies and optimization within the system, while maintaining our Number one goal of keeping the shelves stocked in order to meet the consumer demand.

Sales and marketing expenses for the three months ended March 31, 2023 were approximately \$48 million, an increase of 51%. Although, we saw increased marketing investment during the quarter, in line with historical spend, this was offset by less expense within sales due to timing of our activation.

General and administrative expenses for the three months ended March 31, 2023 were approximately \$21 million, an increase of 75% relative to Q1 2022. This increase was due to

increased employee costs associated with building a back shop, that can scale as we grow, including stock-based compensation as well as administrative fees, such as, legal audit and other consulting fees. Focusing now on liquidity and capital resources as of March 31, 2023, we had cash of approximately \$634 million and networking capital of approximately \$801 million.

With that said, I'll now turn it over to John. Thank you.

John Fieldly {BIO 17560616 <GO>}

Thank you, Jarrod. Moving to Slide 15. 2022 was a transformational year. We're focused on driving continued shareholder value. Our three key drivers for driving shareholder value is revenue growth, operational excellence, and EBITDA growth.

Through our first driver of revenue growth, we're focused on expanding the number of doors and expanding the channels where Celsius is now carried. In addition, in 2022, we expanded into a new channel, which was the club channel, where we see great opportunities and further scale for '23 and beyond.

In addition, with our Pepsi partnership, it opened up a new channel for Celsius in the food service, college and universities. We're increasing the numbers of items carried per location, and we're focused on driving store velocity rates. In addition, we see international growth.

Our second driver, operational excellence, focuses on gross profit improvement as we further gain leverage through scale, optimizing our orbit model optimization, shipping direct from our co-packers to our distributors, vertically integrating, improving our scrap waste efficiency.

We focus on our sales and marketing as we further increase efficiencies as we scale, optimizing our PepsiCo partnership to gain further leverage. As Jarrod mentioned, our general and administrative, improving our software optimization plans, our revenues per employee, and focusing on building our teams and expertise.

In addition, our third driver of EBITDA growth, we are focused on driving increased EBITDA growth as we gain leverage through our operational model and sustained top-line revenue growth.

Moving to Slide 16. Our Celsius performance over the last several years, and most importantly, over the last three years, where we've seen exceptional CAGR growth over the last three years of 105%.

Moving to Slide 17. As Jarrod reviewed our financial performance, looking at our performance versus the overall category, looking at the first quarter, some highlights, as we talked about in our last earnings calls. Celsius is the Number one dollar growth brand in the total U.S. MULOC in the last 52 weeks, growing \$552 million and contributing 23% of the category growth on an increase over the prior year of 139.6%.

In addition, Celsius is now a strong Number three brand in the energy drink category. As of the last four weeks data, as of March 26, 2023, and according to SPINS IRI energy category, MULOC convenience data. And on Amazon, Celsius is the second largest energy drink brand with a 19.1 share in the energy category. That's as of the ending April 22, 2023 per stack line, total U.S. energy.

And according to SPINS IRI energy drink category, as of the last four weeks, ending March 26, 2023, Celsius, as I mentioned, is that strong Number three brand in the energy category, with now a 7.5 share in the market. It doubled its share from 3.7 a year ago period. In addition, over

the prior year, we saw our distribution expand to now from an ACV in the prior year of 69.5% to today at a 95.4% ACV.

In addition, we saw the biggest gains in convenience where we see large opportunity as we further expand in the energy category. Celsius gained an additional 37.7 points of ACV growth versus the prior year to a 93.4% compared to 55.7% in the year ago period.

In addition, per numerator as of the last 52 weeks ending, February 28, 2023, 68% of Celsius' volume is incremental to the energy category, where 24% of our sales is new to category and 44% of our increase is coming from increased consumption of existing Celsius users, truly reinforcing our consumers are making Celsius a part of their daily lifestyles.

Moving to Slide 18. (Technical Difficulty) that's a great tasting lemon lime, and a green apple cherry. And in 2022, we further expanded upon our vibe line, where we initially started off with a peach vibe. Now expanded that portfolio, and we see it as a dominant opportunity to expand in the category.

Most recently launched our Arctic Vibe, which is a great tasting frozen berry, a Fantasy Vibe, a mandarin marshmallow orange. And most recently, we launched an Oasis Vibe, which is a prickly pear lemon flavor, which is on trend with today's consumers in Gen Z.

Moving to Slide 19. We are pioneering the position for a better-for-you, functional energy drink. We're taking clinically proven function and better-for-you energy and transforming energy category and the beverage category today. Busy lifestyles and a focus on health and wellness are driving the need for convenient alternatives, that give consumers a way to manage their wellbeing while they're on the go.

In addition, consumers are increasingly seeking new alternative bevers to help them achieve and maintain their health and wellness goals. This is where we see today an opportunity, not only to go after energy, but go after the total beverage category.

And this really came to us in the most recently as we partnered with Pepsi. And we started to expand in a new channel, the food service channel, college and universities. And we're seeing the usage occasion for Celsius product expand. That's where we see a great opportunity that lies ahead.

Moving to Slide 20. In addition to expanded usage occasions and the success of the United States and the global trends of health and wellness, better-for-you, more function in the foods we want and we drink and consume. We see a growing opportunity globally, especially with our strategic partnership with Pepsi.

In addition, we've expanded in Asia through a variety of strategic partners, as well as laying seeds for the future. And in Europe, we have a dedicated team in the Nordics and a playbook for European expansion. (Technical Difficulty) Slide 21. Some key takeaways to take away. Celsius continues to outpace the category group. We completed a Pepsi distribution partnership, which has opened up and expanded upon opportunities.

We're seeing resounding consumer demand on our trend forward position in the energy category. We're rapidly growing revenues and profits, we're expanding our product offerings, we have an innovative portfolio capitalizing on today's health and wellness trends, we're transforming our operations for scale, and we have a discipline data-driven team.

That is our presentation, our prepared remarks. As Marcus mentioned, to the left of your screen, you're able to type in questions and we will answer questions live. So, we'll go ahead and pull for questions, and we'll turn it over to Toby David, as we're pulling. Thank you.

Toby David {[BIO 20749891](#) <GO>}

Thank you, John and Jarrod for that exciting recap of our 2022 results. As we wait for the questions to come in, we will give a few moments and then we will report any questions that may have been presented.

Seeing that there have been no questions presented for our review, I will now call upon the results of the voting. We have been informed by our Inspector of Elections that the proxies and the ballots have been counted. I will call upon Emily Watson, our Inspector, to give her report.

Emily Watson {[BIO 18686428](#) <GO>}

As the Inspector of Elections, I am pleased to report that the results of the voting are as follows. All of the nominees for election to the Board of Directors have been elected and the appointment of Ernst & Young, LLP as the company's Independent Registered Public Accounting Firm for the year ending December 31, 2023 has been ratified.

Toby David {[BIO 20749891](#) <GO>}

Thank you, Emily Watson for your report. Congratulations to our reelected Board of Directors and also to Ernst & Young for being appointed as our Independent Registered Public Accounting Firm for the year ending December 31, 2023.

There being no further business to come before the meeting, the annual meeting is now officially adjourned. The company's officers and directors would like to express their appreciation to the shareholders who attended this meeting via our online meeting portal, as well as those who submitted their proxies but were not able to be present. Thank you and have a great day.

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